

SCHOOL-LINKED SOCIAL INSURANCE AND LABOR MARKET EFFECTS: EVIDENCE FROM MEXICO

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Abstract

In 2016 the Mexican government affiliated more than 3 million high school students to the national social insurance institution and began providing basic medical benefits attached to their enrollment in a public school. This paper combines differences across cohorts induced by the exposure to the policy with differences across states in initial informality rates to study the impact on labor market outcomes. Relative to less informal states, exposed cohorts in highly informal areas show higher participation, employment, and formality rates. There is no significant impact on school attendance and monthly income. The formalization effect is sizable, with an additional percentage point in the initial state informality rate being associated with an increase of between 0.4 and 1 percentage points in the formality rate among exposed cohorts.

1 Introduction

Informal employment, understood as productive activity that is not properly registered by the government, is a key characteristic of labor markets in developing countries. In Mexico, almost 60% of total employment is informal and this proportion has maintained relatively stable over the years. An area that has been underexplored is the impact of informal employment and its determinants at the micro level. In this paper, I study a policy enacted recently in Mexico where students enrolled in public high schools began receiving medical benefits associated with social insurance and formal jobs while they were attending school. My research question is how did this social insurance expansion affect the labor market outcomes of the exposed population, with particular emphasis on

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the formality rates of their first jobs. Understanding how informality interacts with public policy is relevant as high rates of informality are associated with higher incidence of poverty and job insecurity. On a macro level, informality represents an important obstacle for tax collection and social insurance provision. Moreover, early experiences in the labor market are important as there is evidence of high persistence of informality (Akay and Khamis, 2012) and of *scarring* effects of youth informality (Cruces et al., 2012).

In this paper, I combine differences across states in the prevalence of informality prior to the social insurance expansion with differences in exposure to the policy across birth cohorts. I find that following the expansion of medical benefits associated with social insurance, exposed cohorts in states with higher initial informality show higher participation, employment, and formality rates. Specifically, the estimates suggest that an increase of 1 percentage point in the initial informality rate at the state level is associated with an increase of 0.3 to 0.5 percentage points in the participation rate, an increase of 0.15 to 0.25 percentage points in the employment rate, and an increase of 0.4 to 1 percentage points in the formality rate among exposed cohorts. I find no significant impact on school attendance rates or monthly income. Furthermore, the positive impacts on participation and formality are higher for workers attending school. This suggests that students receiving the medical benefits through their school were not more likely to have an informal job, despite the reduction in the relative cost of an informal job vs. a formal job. Results are similar between men and women, and robust to an alternative definition of informality that excludes the self-employed.

The remainder of the paper is organized as follows. In Section 2, I describe the policy and the potential mechanisms. In Section 3, I briefly discuss the relevant literature. Section 4 is devoted to the description of the data, research design, and presentation of the main results. Section 5 presents results by school attendance, gender, and an alternative definition of informality. Section 6 concludes.

2 Expansion of Social Insurance Benefits for Students

In 2015 the federal government of Mexico changed the rules of affiliation to the social insurance institution (IMSS), allowing all students that were enrolled in public high schools and colleges to register through a unique social security number that would remain the same for the rest of their lives. The students had the right to start receiving basic medical benefits while remaining enrolled in a public school. The following year there was a widespread campaign titled "Tienes IMSS" (You Have IMSS) where the federal gov-

ernment encouraged state governments to enroll their students in the social insurance institute as well as promoting the use of the benefits among students. Concretely, by being enrolled in IMSS, the students had free access to medical consultations, lab tests, medicine provision, certain surgical interventions, pregnancy support, and guidance regarding nutrition, addictions, and sexual education. Between March and August of 2016, 3.6 million students were enrolled in IMSS, covering the universe of students in public high schools and colleges (7 million for the school year 2015-2016). Moreover, around 80% of high school students are enrolled in a public institution and the enrollment rate of the population in high school age is close to 70%.¹ Thus, this policy affected a significant portion of the young population. In the Mexican context, the main difference between formal and informal employment is the lack of access of the latter to social insurance benefits (mainly health insurance and retirement funds). Therefore, this policy gives rise to the question of what is the impact of the expansion of social insurance benefits on youth employment. Of particular interest is the informality rate among the affected population.

Ex-ante this policy has an uncertain impact on the labor market outcomes of the exposed population. I will lay out three potential mechanisms arising from this policy. First, the new medical benefits attached to school enrollment increased the value of education. Therefore, we would expect students to remain longer in school and they could be delaying their entry to the labor market, thus lowering their participation. Second, the new medical benefits could be seen as a complement of employment compensations for students. Given that one of the main disadvantages of an informal job is the lack of social insurance benefits, this policy reduced the relative cost of working at an informal job as a student, given that now they have access to some of these benefits by being enrolled in school. It could even be the case that students use the medical benefits as leverage to request a higher wage in substitution of benefits facilitated by the employer, increasing the value of working while being a student. Employers could also exploit the complementarities of the new medical benefits and decrease the formal job offers relative to informal ones. Following this potential mechanism, we could expect an increase in the participation and a decrease in the formality of the exposed population. An unintended consequence of this policy could be an implicit subsidy to informality. Third, there is an important information and salience component of the policy regarding social insurance benefits attached to formality. If prior to the policy students did not know what were the concrete benefits associated with social insurance and formal jobs, then an increased salience of them might make the students more likely to look for a formal job in order to

¹Instituto Nacional para la Evaluación de la Educación. *Principales cifras nacionales (2015-2016)*.

retain the benefits after they stop attending school. Increased information and salience of their legal rights could also have a potential positive impact on the bargaining power of the affected population when negotiating employment compensations with potential employers. Through this mechanism we would expect an increase in the formality of the exposed population. Given the ex-ante uncertainty, it remains as an empirical exercise to assess what is the impact of the policy on the labor market outcomes of the affected population.

3 Literature Review

This paper is most closely related to the literature studying the relationship between social insurance programs that are not attached to employment and informality, where there is a debate of their impact. In the case of Mexico, there have been several studies focusing on the impact of the *Seguro Popular* program, which provided medical benefits to poor households. While Santiago Levy (2007) argues that this program acted as an implicit subsidy to informal employment and resulted in a significant reduction of formal jobs, other authors argue against this idea and do not find a significant impact on informality (Esquivel and Ordaz-Díaz (2009), Arias et al. (2010)).

Additionally, this paper is related to a strand of literature that emphasizes the importance of early labor market experiences. While there is widespread evidence regarding *scarring* effects of youth unemployment spells (Arulampalam (2001), Bell and Blanchflower (2011)), in the context of Latin America, Cruces et al. (2012) find that youth informal employment spells have an impact on persistent informality as well as wage penalty effects.

It is also important to note that there are two different traditional schools of thought with respect to the barriers to entry to formal employment. The traditional, dualist school of thought argues in favor of segmented labor markets, based on the Harris-Todaro model (1970) and considers informal workers as being informal in an involuntary way. Alternatively, a revisionist school of thought argues in favor of integrated labor markets, where informality is caused by attempts of formal firms to reduce labor costs and increase competitiveness, and by entrepreneurs who choose to operate informally (Portes et al. (1989), Maloney (2004)). Therefore, in this school of thought informal workers are informal voluntarily. For this project, I am going to adopt the revisionist view and I give an important weight to the decision process of a worker of entering formality or informality. Given that by law any employee must have access to social insurance benefits through their

employer, I argue that the policy at study increased the bargaining power of employees negotiating contracts with employers, but it also decreased the relative cost of working informally while being a student. This goes in line with results by Samaniego de la Parra and Fernández Bujanda (2020), who document that formal firms in Mexico consistently offer both informal and formal jobs, and are more likely to increase formality after random work-site inspections.

4 Impact on Labor Market Outcomes

4.1 Data

The main data source for this paper is the Mexican quarterly survey on employment called ENOE (*Encuesta Nacional de Ocupación y Empleo*). This survey has information on around 300 thousand workers each quarter, is representative at a national and state level, and allows me to have information for both formal and informal employees. The design of the survey is a rotating panel so each individual is followed for 5 quarters, and each quarter one fifth of the sample is replaced. Ideally I would have longitudinal data for individuals so I could compare the population affected, exploiting the variation on the timing of implementation and using difference in differences strategies. However, given that I only have the limited longitudinal data of the traditional employment survey and the fact that I cannot identify exposure to the policy at the individual level (I cannot observe whether a person attended a public or private school), a way to overcome this is to exploit differences across exposure to the policy by cohorts and differences across states regarding the intensity of informality prior to the implementation of the policy. Therefore, I can compare the cohorts affected by this policy with the previous similar cohorts that did not have access to the social insurance benefits through their education and observe whether there are significant differences in occupational outcomes, varying by initial informality. My main period of analysis corresponds to the year 2019.

4.2 Research Design and Main Results

I will focus on the policy affecting high school which corresponds to years 10 through 12 of the American system. I focus on high school cohorts mainly because there is a more straightforward mapping between birth cohorts and high school years. Usually, high school students are between 15 and 18 years old. The number of years of college in Mexico varies across majors and institutions, and the age of the students is noisier. The birth

cohort will determine an individual's exposure to the policy, so focusing on high school leads to a cleaner specification. Incorporating the college component of the policy and studying longer term impacts of the policy is left for future work.

The main cohorts studied will be those born between 1995 and 2004. This is because the cohorts of interest will be the ones that were affected by the policy and those that barely missed it due to graduating from high school before 2016. The main analysis is going to be done with data from 2019 such that the youngest cohorts are 15 years old (the minimum legal working age). Given that the policy is fairly recent, and fully affected cohorts are still in school age, I focus on these young cohorts to maintain comparability. Figure 1 plots the exposure to the policy during high school by cohort, defined by the percentage of years where students had access to social insurance benefits. Cohorts that graduated high school before 2016 (i.e. were older than 18 in 2016) were not exposed at all to the policy, while cohorts that were 15 or younger in 2016 entered high school after the full implementation of the program and were fully exposed. There were two cohorts that were partially exposed, corresponding to those students who only had the social security benefits for one or two years of their high school.

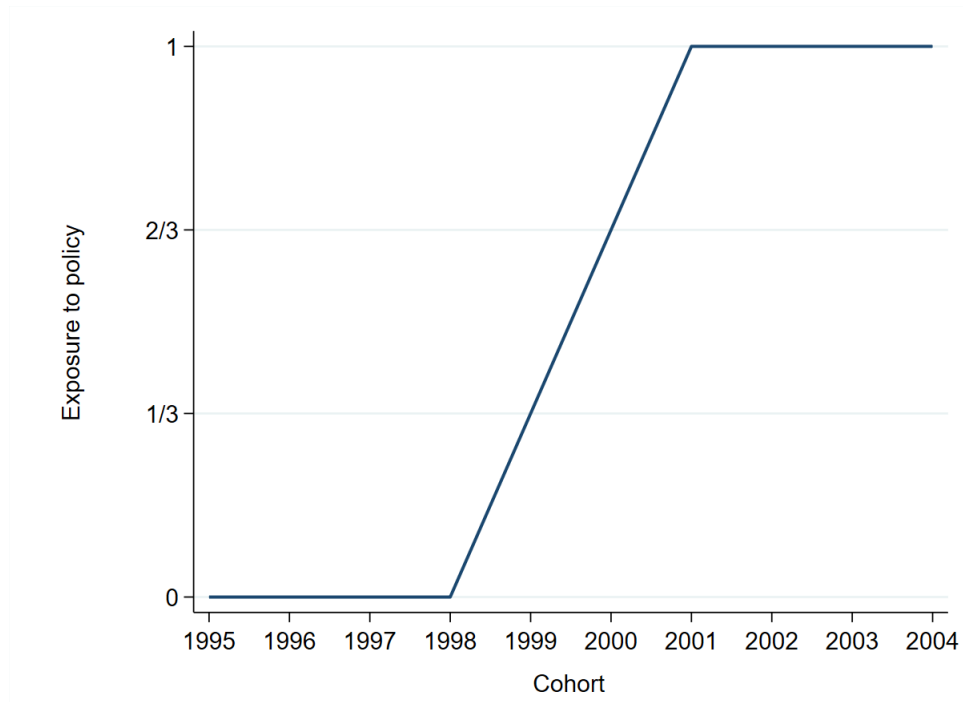


Figure 1: Exposure to policy (high school) by cohort

To better assess the impact of the expansion of social insurance benefits for students on la-

bor market outcomes, I will consider the extent of informality prior to the implementation of the policy. The national average of almost 60% of the workforce being informal masks significant heterogeneity in the informality rate across states in Mexico. The richer states bordering the United States have informality rates of around 40% whereas the poorest, southern states have informality rates as high as 80%. I am going to follow a research design close to that implemented by Bleakley (2010). He studies the impact of malaria eradication campaigns in the Americas by comparing outcomes across cohorts separating along the timing of birth relative to the campaigns and the degree of pre-campaign malaria intensity. This is also similar to Duflo (2001), where she studies the schooling and labor market consequences of school construction in Indonesia. In my setting, the campaign is defined as the access to the social insurance benefits through school enrollment, and the separation of intensity will be regarding pre-policy informality, defined as the average of the informality rate at the state level between 2013 and 2015. Figure 2 plots the pre-policy informality rate by state. The main labor market outcomes I will be studying are the participation rate (share of population working or actively looking for work), the employment rate (share of labor force that is employed), the formality rate (share of employed population in a formal job), and the monthly labor income.

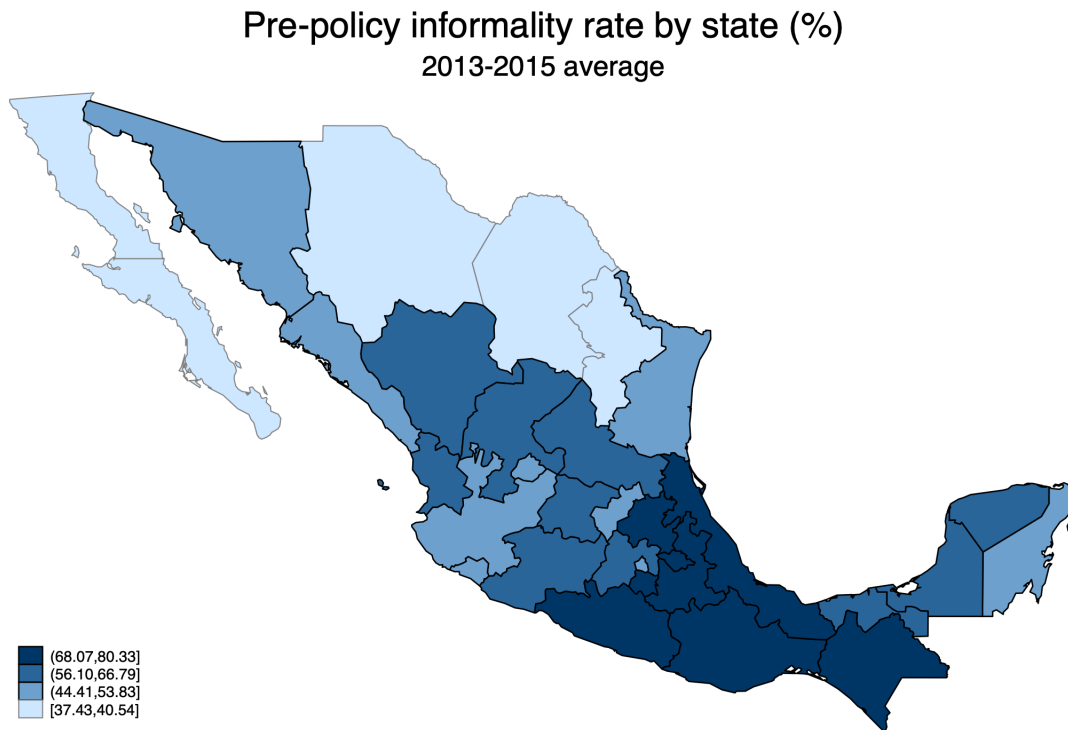


Figure 2: Pre-policy informality rate by state, 2013-2015

The identifying assumption underlying my analysis is that in the absence of the policy, the average change in the unexposed cohorts among low informal states represents the counterfactual change in the exposed cohorts in high informal states across the outcomes studied. Given that high informal states are also poorer, a main threat to identification will be mean reversion. I will perform tests to the identifying assumption after presenting the main results.

4.2.1 Long Differences

First, I am going to simplify the analysis and aggregate the different cohorts into two groups: those who were fully exposed to the policy and those who were not exposed at all. I will compare the main labor market outcomes across these groups of cohorts for each state to obtain long difference estimates. Therefore, the basic equations to be estimated will be

$$Y_{s,post} - Y_{s,pre} = \beta I_{s,pre} + X_{s,pre}\Gamma + \alpha + \varepsilon_{s,post},$$

where Y is a labor market outcome of state s , and the time subscripts *post/pre* indicate whether the cohorts were fully exposed or not to the policy. The preceding informality rate is $I_{s,pre}$, defined as the average state informality rate between 2013 and 2015. The X variables are a set of controls, and α is a constant term. The main outcomes of interest are the participation, employment and formality rates, and monthly labor income. For the set of controls I include state GDP per capita in 2013, mean educational attainment in 2015 and regional controls, grouping the 32 states into 8 different regions. The equation is going to be estimated using weighted least squares with data from the fourth quarter of the employment survey of 2019, where the weights are defined by the square root of cell sizes to take into account the different precision of the estimations of cohort means.

The long differencing estimates are presented in Table 1. Columns (1)-(4) show the estimates only with the preceding informality rate as an independent variable and columns (5)-(8) include the set of controls. From the mean differences between cohorts fully exposed and not exposed at all we can see that the exposed cohorts have significant lower participation, employment, and formality rates, as well as income. These patterns are expected as the fully exposed cohorts are younger. From the estimated coefficients we can interpret that one additional percentage point in the preceding informality rate is associated with an increase of 0.52 percentage points in the participation rate, an increase of 0.25 percentage points in the employment rate, and an increase of 0.63 percentage points

in the formality rate among the exposed cohorts. The impact on monthly income is small and positive (close to 1 USD) but not statistically significant. The sample of income results is smaller due to higher non-response rates in this question of the survey. These reduced form results suggest that in states with high informality rates, cohorts that were exposed to the policy experienced an increased participation in the labor market, with higher employment and increased formality, relative to cohorts in less informal states.

Table 1: Cross Cohort Long Differences in 2019 Q4

	(1) Participation rate	(2) Employment rate	(3) Formality rate	(4) Monthly income	(5) Participation rate	(6) Employment rate	(7) Formality rate	(8) Monthly income
Pre-policy informality rate	0.40*** (0.04)	0.17*** (0.03)	0.40*** (0.05)	22.43*** (4.64)	0.52*** (0.10)	0.25** (0.09)	0.63*** (0.14)	22.25 (14.06)
Log GDP per capita in 2013					0.35 (0.80)	1.05 (1.41)	1.76 (1.39)	-101.4 (137.84)
Educational attainment in 2015					0.12 (1.28)	-0.43 (1.29)	3.16 (1.91)	-26.65 (206.34)
Regional controls					✓	✓	✓	✓
Mean dependent variable	-38.15	-0.80	-33.94	-2,139.84	-38.15	-0.80	-33.94	-2,139.84
Observations	32	32	32	32	32	32	32	32

Robust standard errors in parentheses. The square root of cell sizes are used to construct weights for the observations. Average cell size is 1,723, except for income regressions where the average cell size of workers reporting strictly positive income is 512.

***p<0.01, **p<0.05, *p<0.1

4.2.2 Panel Estimates

The long differencing estimates have the advantage of reducing bias in inference that comes from higher frequency autocorrelation. However, it does not account for pre-existing trends, which are going to be addressed with panel estimates constructed with information for the four quarters of 2019. First, to incorporate cohorts that were partially exposed to the policy I will estimate pooled regressions of the form

$$Y_{kst} = \tilde{\beta} I_s \times \text{Exp}_k + \delta_k + \delta_s + \delta_t + \sum_i (x_s^i \times \text{Exp}_k) \gamma_i + \nu_{skt},$$

where Exp_k is exposure to the policy for cohort k as defined by figure 1, I_s is the pre-policy informality rate in state s , the x_s^i are state-specific controls, and $\delta_k, \delta_s, \delta_t$ are fixed effects for cohort, state, and quarter, respectively.

Second, I will compare changes in outcomes by cohort across states with distinct pre-policy informality rates in order to assess the contribution of the policy to the observed changes. The regressions to be estimated are

$$Y_{kst} = \beta_k I_{s,pre} + \delta_k + X_s \Gamma_k + \nu_{skt},$$

where β_k is a cohort specific coefficient on informality, X_s is a vector of region controls, and δ_k and Γ_k are cohort-specific intercept and slope coefficients. By estimating the equation through weighted least squares for each cohort I will generate a series of estimates across cohorts. The series of cohort estimates will help me produce graphical evidence of the impact of the policy.

Before presenting the estimates of the pooled and cohort-specific regressions, Figure 3 plots summary statistics for the panel constructed by cohort across states and quarters in 2019. I single out in red the three poorest states (Guerrero, Oaxaca, and Chiapas), which also happen to be the southern-most states. We can see expected patterns of the data, such as lower participation rates and higher informality rates for younger cohorts. Among the poorest states it is interesting to observe that for the oldest cohorts analyzed, the participation rate is lower relative to richer states but for the youngest cohorts, relative to richer states the participation rate is higher. It is also worth noting that the employment rate is consistently higher for the poorest states across all cohorts, but the quality of jobs within these states is worse, as seen by the lower formality rate and lower monthly income.

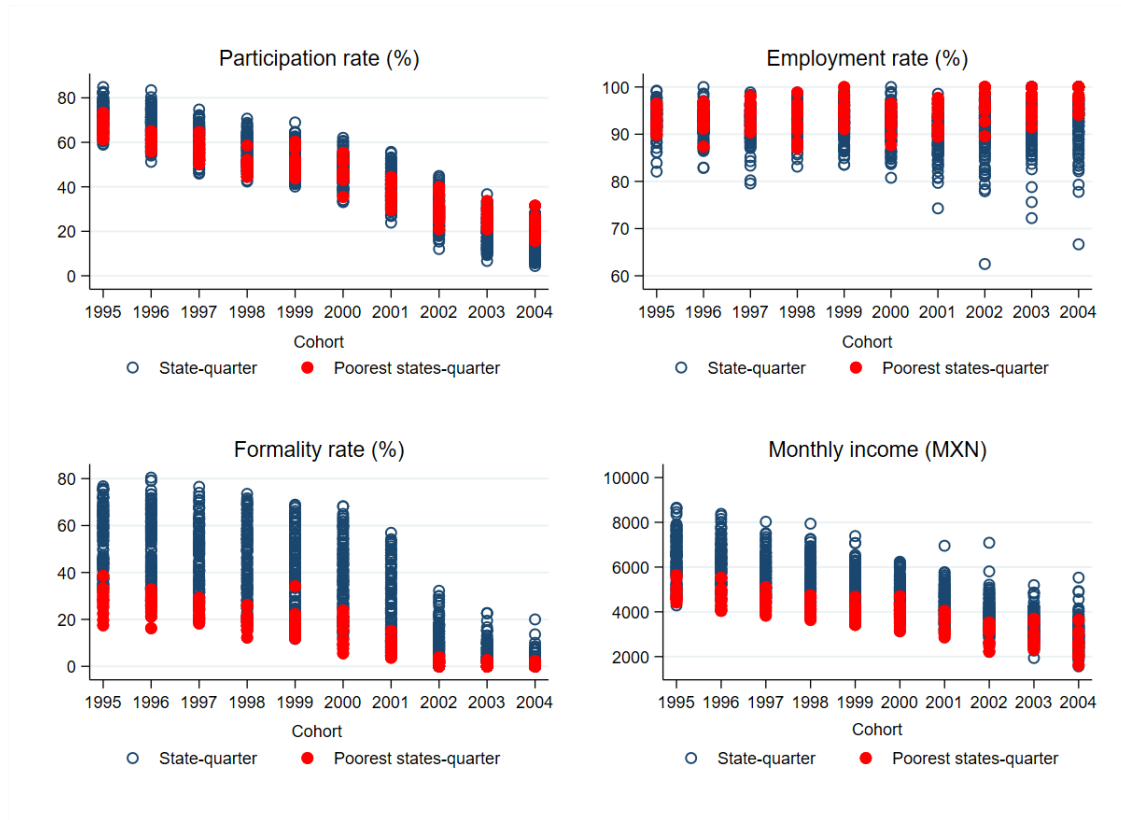


Figure 3: Summary statistics of panel by cohort across states and quarters in 2019

Table 2 presents the estimates for the pooled regressions. The regressions are estimated through weighted least squares with the weights constructed from the square root of cell size. Standard errors are clustered at the state level. We can observe that these estimates are consistent with the results from the long differencing. The magnitude of the estimate for the participation rate decreased but remains significant. The estimate for the employment rate is very similar whereas the estimate for the formality rate increased to almost 0.8 percentage points associated with an increase of 1 percentage point in the initial informality rate. This means that taking into account the panel structure and the partial exposed cohorts increases the differential positive impact of the policy on the formalization of exposed cohorts in high informal states relative to low informal states. The impact on income is statistically significant although it is still very small (an increase of around 1.4 USD in monthly income).

Table 2: Panel Estimates of the Effect of Exposure to Policy, 2019 Q1 to 2019 Q4

	(1)	(2)	(3)	(4)
	Participation rate	Employment rate	Formality rate	Monthly income
Pre-policy informality rate $\times$ Exposure	0.33*** (0.05)	0.22*** (0.03)	0.79*** (0.06)	30.24*** (7.58)
Log GDP per capita in 2013 $\times$ Exposure	-0.20 (1.00)	1.14** (0.41)	0.74 (0.64)	-79.27 (139.23)
Educational attainment in 2015 $\times$ Exposure	-1.35 (0.71)	0.74 (0.54)	2.42* (1.08)	103.43 (112.96)
Cohort FE	✓	✓	✓	✓
State FE	✓	✓	✓	✓
Quarter FE	✓	✓	✓	✓
Mean dependent variable	45.11	92.55	37.81	5,157.30
Observations	1,280	1,280	1,280	1,280

Standard errors clustered by state in parentheses. The square root of cell sizes are used as weights for the observations. Average cell size is 218, except for the income regression, where it is 66.

***p<0.01, **p<0.05, *p<0.1

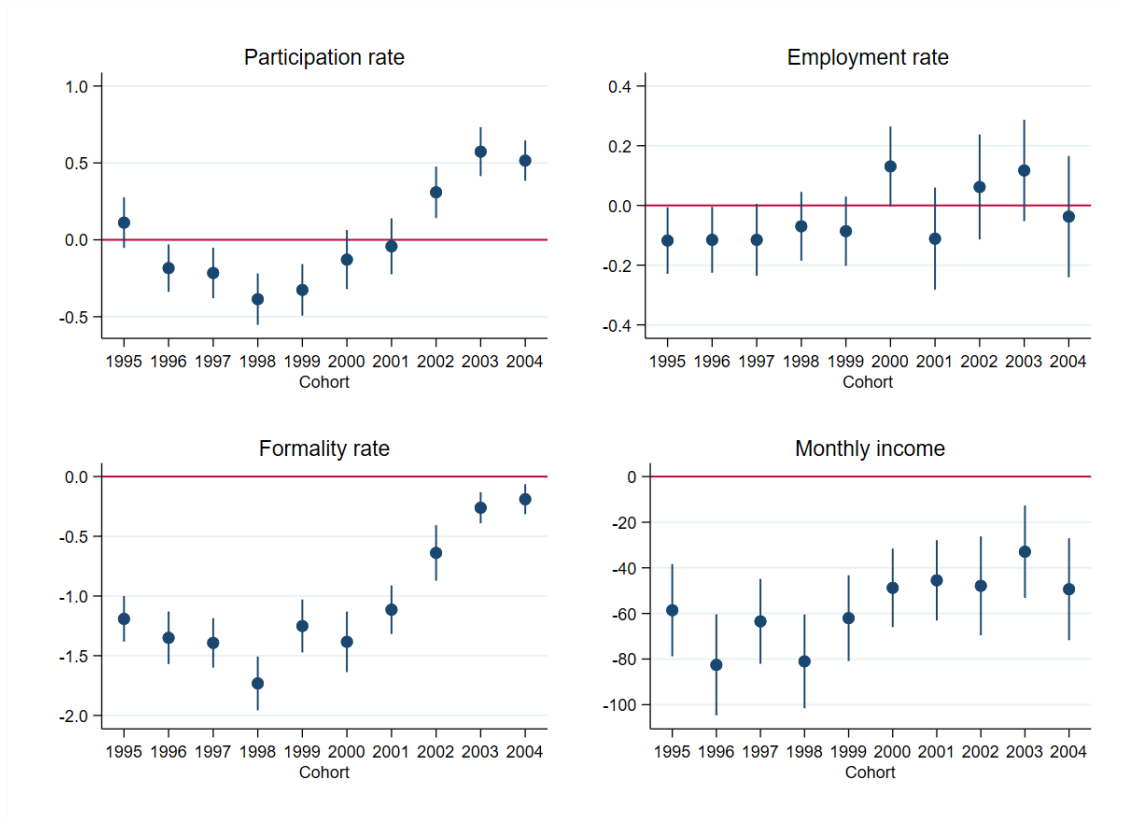


Figure 4: Cohort-specific estimates on pre-policy informality rate, $\hat{\beta}_k$

Figure 4 plots the cohort-specific estimates on pre-policy informality rate for the different outcomes of interest. The pattern of estimates are broadly consistent with the exposure to the policy. The patterns are more clear for the participation and formality rates despite pre-existing trends. This graphical evidence points to the relevance of the policy explaining the results found in the long-differencing and pooled regression analyses.

4.3 Tests to Identifying Assumption

The identifying assumption of my empirical strategy should not be taken for granted. An alternative explanation to the main results would be that of mean reversion. It could be the case that even in the absence of the policy, we would have observed an increase in the participation, employment, and formality of younger cohorts in high informal states as these very informal, poor areas catch up with the more formal, richer states. As a first approach to test the identifying assumption, figure 5 plots the trends in the long differences between the correspondent treatment (15-18) and control (21-24) age groups of the main analysis since 2010. For each quarter I calculate the long differences across the main outcomes for each state. I then divide states between those below and above median pre-policy informality rate, and plot the trends of the long differences before and after the implementation of the policy. A visual analysis of the pre-trends does not identify significant differences, suggesting that the differences across cohorts in low informal states could be an appropriate counterfactual for the differences across cohorts in high informal states. Additionally, Table 3 shows that the long differences results are robust to controlling for the long differences three years prior.

As a further test for the identifying assumption I run a set of placebo regressions to address the concerns on mean reversion. I artificially assign full exposure to my main control group (those born between 1995 and 1998) and compare them with older cohorts (those born between 1991 and 1994). Table 4 shows the results. If we are concerned with mean reversion, we would worry to see a similar pattern as the main results, consistent with younger cohorts in high informal states catching up with older cohorts in less informal areas. However, if anything these placebo regressions give evidence of the contrary. Among slightly older cohorts that were not exposed to the policy there had been a divergence in the participation and formality of younger cohorts in high informal states, relative to older cohorts in less informal states. These results alleviate concerns of mean reversion and suggest that the main results are capturing the causal impact of the policy.

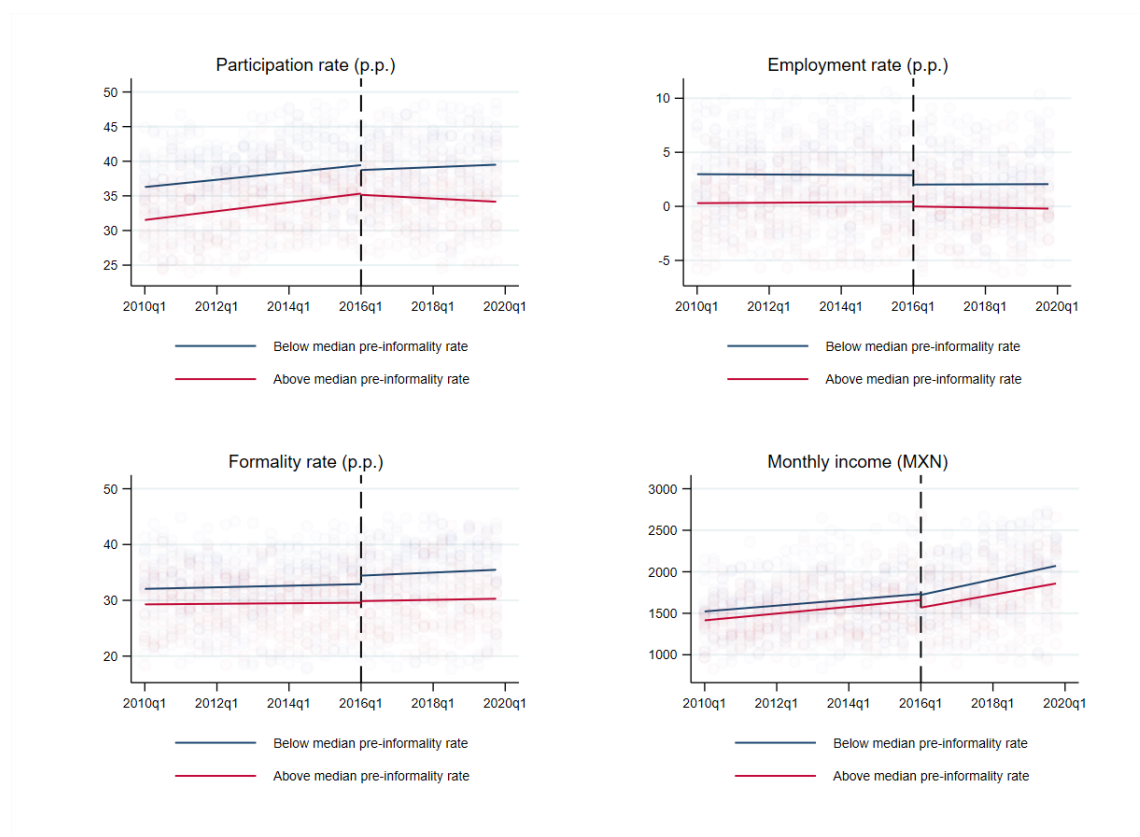


Figure 5: Long Differences Trends (difference between 15-18 and 21-24 cohorts by state)

Table 3: Long Differences Robustness, 2019 Q4

	(1)	(2)	(3)	(4)
	Participation	Employment	Formality	Monthly
	rate	rate	rate	income
Pre-policy informality rate	0.49*** (0.13)	0.22* (0.09)	0.51*** (0.16)	14.92 (16.61)
Log GDP per capita in 2013	0.16 (1.16)	1.29 (1.44)	0.65 (1.31)	-170.44 (150.05)
Educational attainment in 2015	0.27 (1.44)	-0.52 (1.25)	3.08 (2.04)	25.60 (183.54)
Regional controls	✓	✓	✓	✓
Long Diff in 2016 Q4	0.07 (0.23)	0.25 (0.29)	0.35 (0.18)	0.36 (0.39)
Mean dependent variable	-38.15	-0.80	-33.94	-2,139.84
Observations	32	32	32	32

Robust standard errors in parentheses. The square root of cell sizes are used to construct weights for the observations. Average cell size is 1,723, except for income regressions where the average cell size of workers reporting strictly positive income is 512.

***p<0.01, **p<0.05, *p<0.1

Table 4: Placebo Regressions

	(1) Participation rate	(2) Employment rate	(3) Formality rate	(4) Monthly income
<i>Panel A: Long Differences, 2019 Q4</i>				
Pre-policy informality rate	-0.25** (0.08)	-0.07 (0.05)	-0.22 (0.14)	-2.16 (11.88)
Full set of controls	✓	✓	✓	✓
Mean dependent variable	-12.13	-1.77	-8.16	-1,023.24
Observations	32	32	32	32
<i>Panel B: Pooled Regressions, 2019 Q1 - Q4</i>				
Pre-policy informality rate $\times$ Exposure	-0.23*** (0.05)	-0.01 (0.02)	-0.26*** (0.07)	17.60** (5.70)
Full set of controls	✓	✓	✓	✓
Mean dependent variable	69.62	93.68	50.42	6,289.53
Observations	32	32	32	32

Standard errors in parentheses (robust s.e. for long differences and s.e. clustered by state for pooled regressions). The square root of cell sizes are used to construct weights for the observations. Average cell size is 1,579 for the long differences and 198 for the pooled regressions (except for the income regression where the average cell size is 745 and 93, respectively).

*** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$

5 School Attendance and Robustness

An important consideration is whether this policy had an impact on the schooling decisions of individuals. The new medical benefits associated with being enrolled in a public high school or college may increase school attendance and attainment in detriment of participation on the labor market at younger ages, which may be actually a desirable outcome from both the perspective of the individual and society as a whole. The results of the previous section of an increased participation rate among exposed cohorts in high informal states suggest this is not the case. In this section I will explore more thoroughly the impact on school attendance as well as differentiate the main results by school attendance to better understand the mechanisms at play. I will then look at the heterogeneous results by gender and robustness to an alternative definition of informality.

5.1 School Attendance

First, I will explore the impact of the social insurance expansion policy on school attendance rates of the cohorts analyzed. Table 5 shows estimates of the long differences and panel equations presented in sections 4.2.1 and 4.2.2, using school attendance rates as the dependent variable. The coefficient of interest is not statistically significant across these specifications. There is no evidence of an impact of the policy on schooling rates when comparing exposed and unexposed cohorts in high informal states relative to low informal states.

Table 5: Long Differences and Panel Estimates of School Attendance Rates

	(1) Long Differences (2019 Q4)	(2) Long Differences (2019 Q4)	(3) Panel Estimates (2019 Q1 - Q4)
Pre-policy informality rate	-0.10 (0.07)	-0.25 (0.21)	0.13 (0.13)
Log GDP per capita in 2013		-3.16 (2.54)	-2.36 (1.30)
Educational attainment in 2015		8.59 (4.33)	3.97 (2.05)
Regional controls		✓	
Cohort FE			✓
State FE			✓
Quarter FE			✓
Mean dependent variable	43.72	43.72	26.96
Observations	32	32	1,280

Standard errors in parentheses. The square root of cell sizes are used as weights for the observations. Average cell size is 1,723 for (1) and (2), and 218 for (3). For column (3) the independent variables are interacted with the policy exposure function as in Table 2.

***p<0.01, **p<0.05, *p<0.1

Now, I will distinguish the main results of the previous section between the workers attending school at the time of the survey and those that are not in school. Table 6 presents the long differences estimates on the main labor market outcomes distinguishing by school attendance. Panel A shows the main results, considering the full sample, which are exactly those presented previously in Table 1. Panel B shows the long differences estimates using the sample of people not attending school and Panel C shows the results using the sample of students at the time of the survey. Approximately 53% of the full sample studied is enrolled in school. We can see that the results for participation rate, formality rate, and monthly income are higher among the sample that is attending school. In the case of the formality rate, one percentage point increase in the pre-policy

informality rate is associated with an increase of 1.03 percentage points in the formality rate of the cohorts affected by the policy.

Table 6: Cross Cohort Long Differences in 2019 Q4

	(1) Participation rate	(2) Employment rate	(3) Formality rate	(4) Monthly income
<i>Panel A: Full Sample</i>				
Pre-policy informality rate	0.52*** (0.10)	0.25** (0.09)	0.63*** (0.14)	22.25 (14.06)
Log GDP per capita in 2013	0.35 (0.80)	1.05 (1.41)	1.76 (1.39)	-101.40 (137.84)
Educational attainment in 2015 Exposure	0.12 (1.28)	-0.43 (1.29)	3.16 (1.91)	-26.65 (206.34)
Regional controls	✓	✓	✓	✓
<i>Panel B: Sample Not Attending School</i>				
Pre-policy informality rate	0.30 (0.15)	0.25 (0.13)	0.55* (0.21)	20.85 (12.88)
Log GDP per capita in 2013	-3.10 (2.01)	2.99 (1.84)	0.64 (1.83)	-238.79* (105.23)
Educational attainment in 2015 Exposure	0.59 (2.31)	-1.67 (1.86)	4.99* (2.17)	155.81 (178.21)
Regional controls	✓	✓	✓	✓
<i>Panel C: Sample Attending School</i>				
Pre-policy informality rate	0.57*** (0.15)	0.15 (0.17)	1.03** (0.29)	69.69** (24.06)
Log GDP per capita in 2013	2.70 (1.35)	-0.91 (1.46)	3.51 (3.44)	504.75 (431.89)
Educational attainment in 2015 Exposure	-0.33 (2.15)	0.40 (2.01)	3.67 (4.04)	183.81 (391.43)
Regional controls	✓	✓	✓	✓
Mean dependent variable	-38.15	-0.80	-33.94	-2,139.84
Observations	32	32	32	32

Robust standard errors in parentheses. The square root of cell sizes are used as weights for the observations. Average cell size is 1,723 for panel A, 794 for panel B, and 929 for panel C.

***p<0.01, **p<0.05, *p<0.1

To see this graphically, figure 6 shows the estimated coefficients of the pre-policy informality rate on the main outcome variables distinguishing by school attendance. This figure presents the results from both the long differences and panel specifications. For

the case of the panel specification the coefficient corresponds to the interaction of the pre-policy informality rate and the exposure function. We confirm that the estimated coefficients are higher for the subsample of people that are attending school, across the specifications and main outcomes (with exception of the employment rate). We can conclude from this that the main results are mostly driven by the subsample of people that are attending school at the time of the survey. In particular, these results give suggestive evidence that the students affected by the social insurance expansion policy are not more likely to be employed informally, despite the reduction in the relative cost of an informal job while also being enrolled in school.

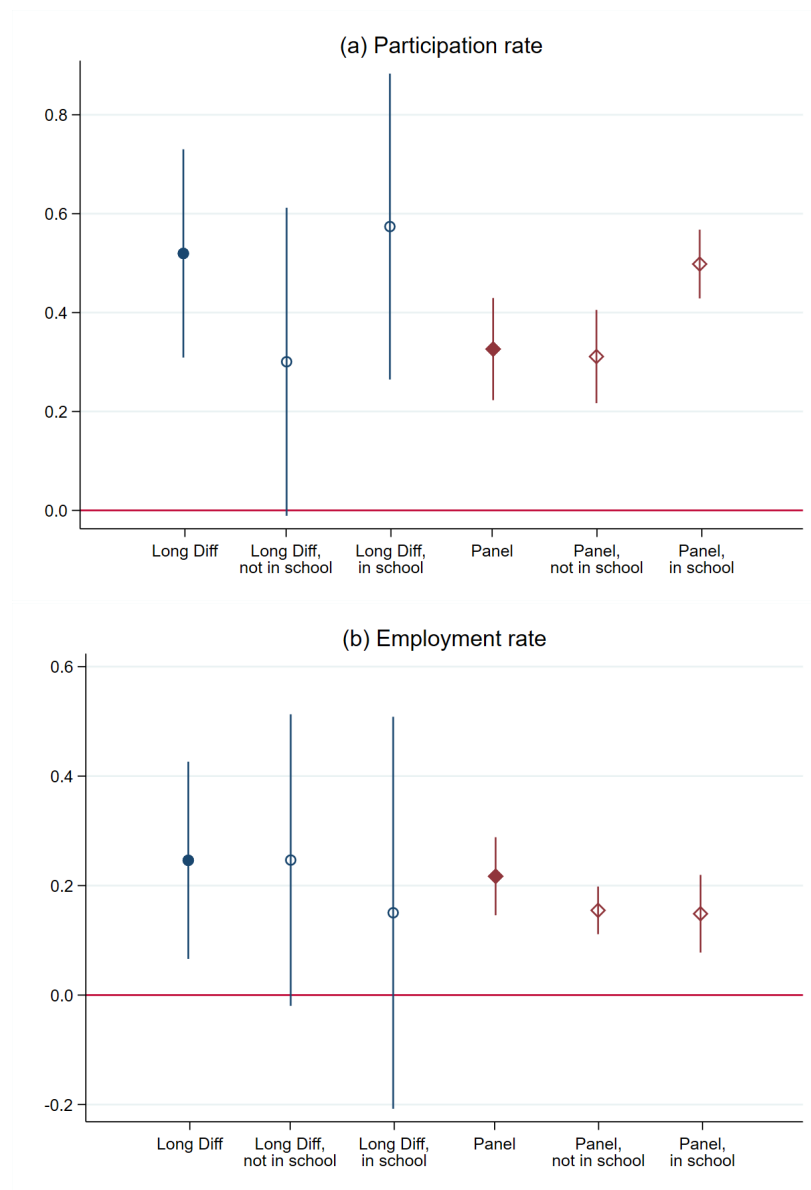


Figure 6: Estimates on pre-policy informality rate by school attendance

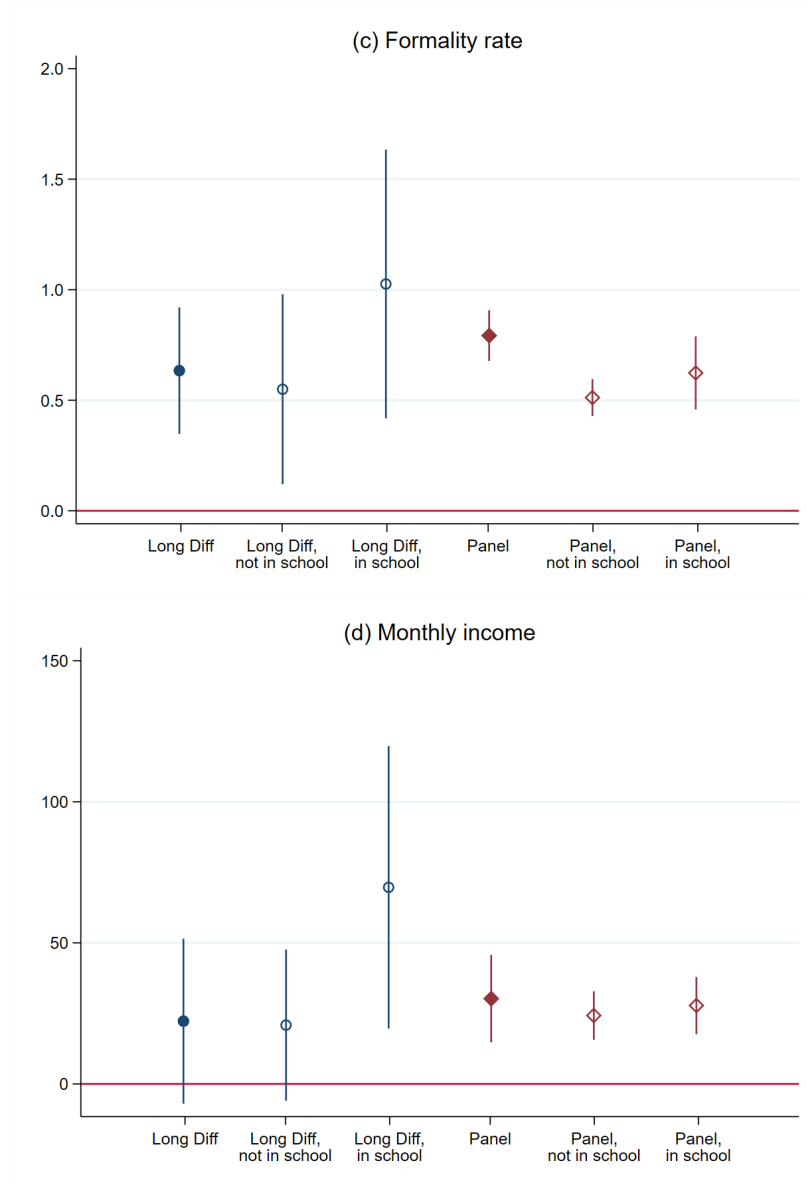


Figure 6: Estimates on pre-policy informality rate by school attendance (cont.)

5.2 Heterogeneous Results by Gender

I distinguish the main results among the sample of men and women to explore any differential impact of the policy by gender. The sample is roughly even split between men and women. Figure 7 presents the graphical results of the coefficient on pre-policy informality rate across specifications and by gender. From these results we cannot observe a stark difference of the impact of the policy between men and women. However, it is the case that the point estimates for the participation and formality rate are higher for men than for women, whereas the point estimates for the employment rate and monthly income

are higher for women. Overall I do not find significant differences of the impact of the policy by gender.

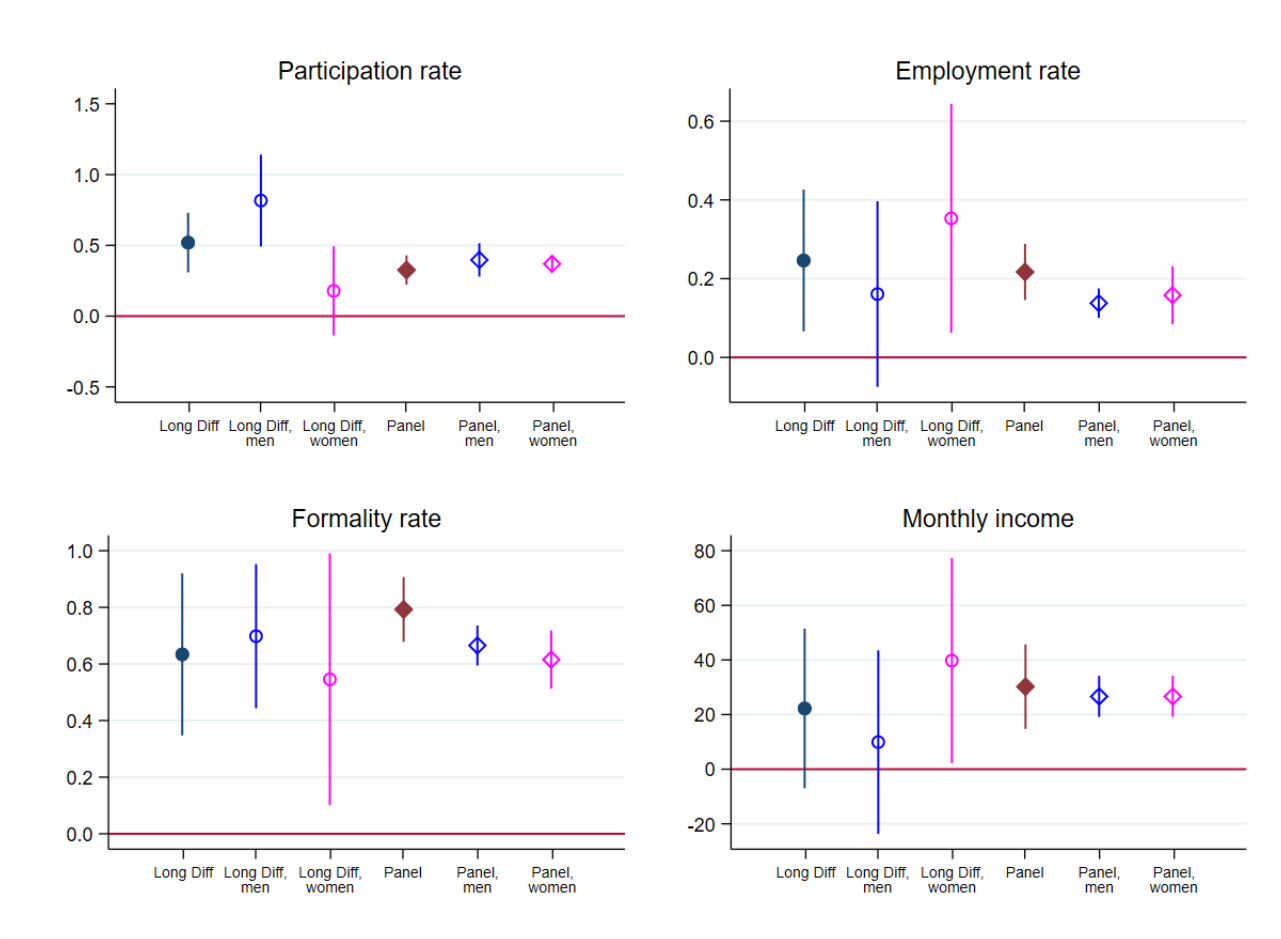


Figure 7: Estimates on pre-policy informality rate by gender

5.3 Alternative Definition of Informality

Up to this point I have been using the official definition of informal employment established by the Mexican National Institute of Statistics and Geography (INEGI). This definition includes both employees and self-employed individuals. I will explore how do the main results change if we focus only on subordinate employment, i.e. employees without access to social security. I use this alternative definition of informality that only considers employees for the pre-policy period as well as for the main period of analysis. Figure 8 presents the main results of the long differences and panel specifications with full controls along with the results using the alternative definition of informality, considering only employees. As expected, the alternative estimates on the pre-policy informality rate become noisier but are similar in magnitude to the main estimates. The panel estimates suggest

a positive and significant impact of the policy in the participation, employment, and formality rates among exposed cohorts in highly informal states relative to less informal ones.

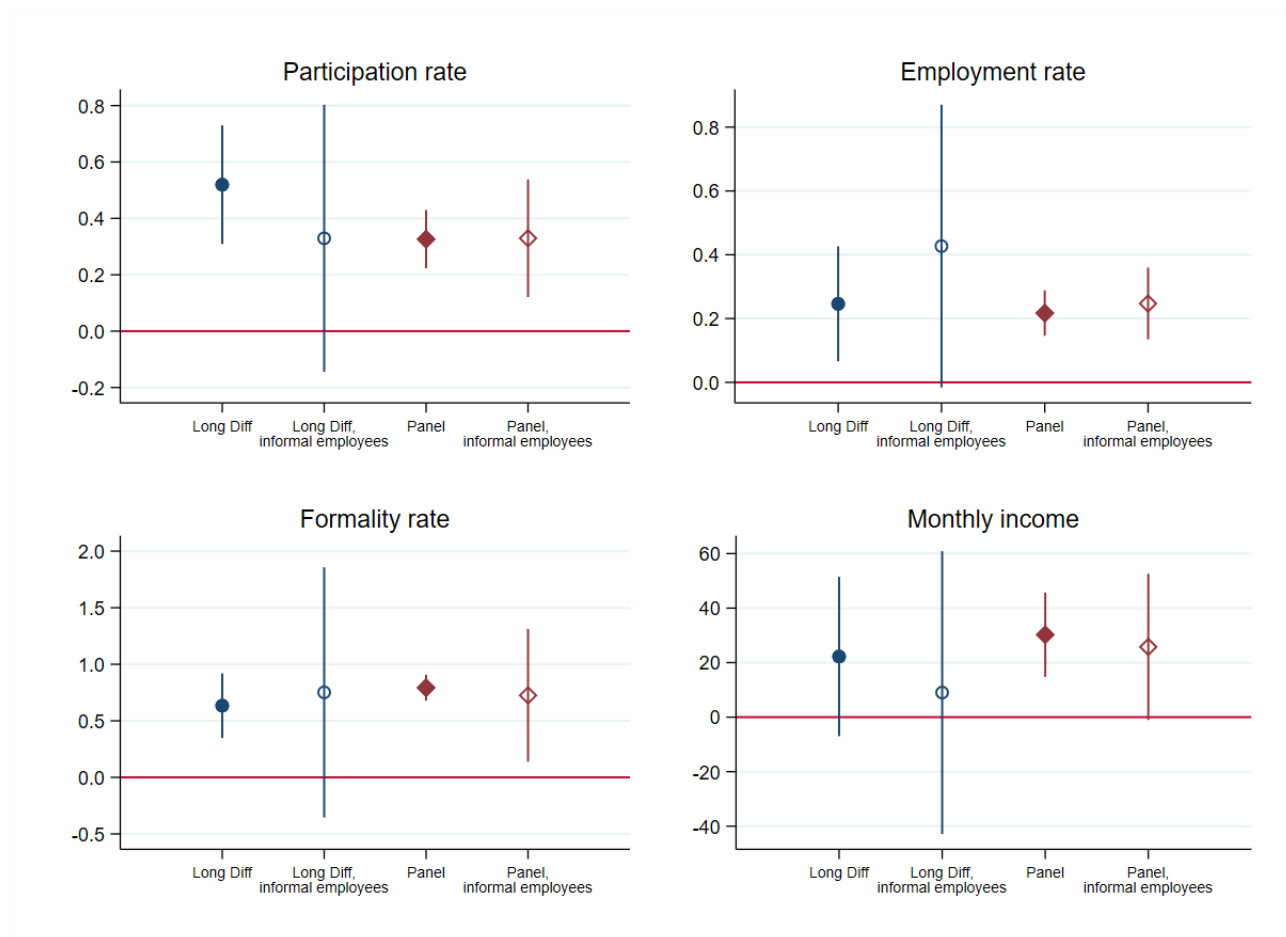


Figure 8: Estimates on pre-policy informality rate, by alternative definitions of informality.

6 Conclusion

Informal employment remains a prevalent characteristic of labor markets in developing countries. Informality rates are higher among younger populations and throughout earlier jobs in the career trajectories. Given the potential scarring effects of young informal employment on future formality and income it is important to understand how public policy affects the formalization of young workers. Policies increasing the access to social security without being tied to employment have been implemented with differing effects on formalization.

This paper studies the impact of an expansion of medical benefits associated to social security in Mexico in 2016 among public high school students. Exploiting variation in the exposure to the policy by year of birth and in the initial informality rate across states I find that the policy had a positive impact on the participation, employment, and formality rates of exposed cohorts in high informal states relative to less informal ones. These effects are higher among the population enrolled in school, suggesting that students do not consider the policy as a relevant subsidy to informal employment through the complementarity of the medical benefits attached to their education. I find no significant differences across men and women, and the results are robust to excluding self-employed informal workers. Furthermore, I find no evidence of an impact on school attendance, suggesting that the young people affected by the policy did not consider the new medical benefits attached to public education as an important determinant of their schooling decisions. While the results of increased participation may be ambiguous given the young age of the affected population, it doesn't seem to be in detriment of their education. Furthermore, the increase in participation was accompanied by high employment and high formality. The increase in formality is sizable among the exposed cohorts in high informal states, with an additional percentage point in the informality rate of the state prior to the policy being associated with an increase of between 0.4 and 1 percentage points in the formality rate. A back of the envelope estimate suggests a formalization of up to 90 thousand young people in the 3 poorest and most informal states.

It is crucial to advance the study of the role of early labor market experiences, particularly that of informal jobs in the context of developing countries. Furthermore, it is important to improve the understanding of the decision process of individuals regarding formalization and the different barriers they face, as well as the interactions with the hiring process of firms. Finally, given the relative stability of informality rates in countries such as Mexico it is relevant to assess which policies foster formalization and which hinder it. Improving the working conditions of millions of people across the developing world remains as one of the main challenges from a policy perspective.

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